

Supply Chain Analysis

Strategic Business Recommendations

Top Priorities at a Glance

- **Fix on-time delivery first:** with only about 23% of orders arriving on time across every region and shipping mode, this is the single biggest drag on customer experience, and the highest-leverage fix available.
- **Compete on service, not price:** since pricing already matches competitors, the real battleground is delivery speed and reliability — this is where future growth should be invested.
- **Rebalance brand support by region:** brand strength swings sharply by market, so redirecting marketing and merchandising effort brand-by-region can lift revenue without spending more overall.
- **Tighten discounting and inventory:** discounts aren't moving sales volume and inventory consistently sits above demand — both are quietly eating into margin and working capital.

1. Revenue & Growth Strategy

- **Shift the pitch from price to reliability:** since matching competitor prices isn't winning extra business, marketing and sales messaging should lead with delivery speed, consistency, and service quality instead of price.
- **Give underperforming brands region-specific support:** put targeted marketing, promotions, or portfolio adjustments behind Brand_E in Asia-Pacific, Europe, and the Middle East, and behind the weakest brand in North America, rather than applying the same plan everywhere.
- **Grow the premium tier deliberately:** customers are already paying above-average prices for some products, so it's worth expanding premium ranges or bundles and giving them dedicated merchandising, since the appetite is clearly there.
- **Build demand forecasts on historical sales:** because past sales reliably predict future demand, forecasting and inventory planning should lean more heavily on historical sales patterns rather than starting from scratch each cycle.
- **Test festival campaigns as an upside, not a crutch:** festival revenue is far smaller than non-festival revenue today, which is a stable strength, but a few well-targeted festival promotions could capture extra revenue without risking the steady baseline the business relies on.

2. Customer Segment Strategy

- **Dig into why average sales differ between segments:** retail and wholesale place a similar number of orders, yet their average sales values differ meaningfully — understanding whether this is order size, product mix, or pricing will sharpen both segments' strategies.
- **Build a light wholesale relationship program:** wholesale customers already convert marginally better, so a simple account-management or loyalty touch could turn that small edge into a bigger, more dependable revenue stream.

3. Pricing & Discount Strategy

- **Rationalize blanket discounting:** since discount depth has little effect on how much customers buy, run a controlled test on reducing average discounts and redirect the savings into service improvements or loyalty rewards that customers will actually notice.
- **Keep the price-matching stance, but publicize the trade-off:** if the business continues matching competitor prices, it should make sure customers clearly see the reliability and service benefits they're getting for that price — otherwise the parity goes unnoticed.
- **Look for pockets where discounts do work:** before cutting discounts everywhere, check whether specific categories or segments respond better to discounting than others, so cuts are targeted rather than across-the-board.

4. Marketing & Website Conversion

- **Prioritize conversion over raw traffic:** since more traffic and more marketing spend don't reliably translate into more sales, shift some budget from traffic generation into improving the buying experience — site speed, product pages, checkout — especially for Electronics, which draws strong traffic but underperforms on sales.
- **Audit marketing spend efficiency by channel:** because spend levels don't track closely with traffic, a channel-by-channel review will show which marketing dollars are actually earning visits and which are simply being spent.
- **Feed website traffic into demand planning:** since traffic trends are linked to demand in the following period, use current traffic data as an early input for inventory and staffing decisions rather than only looking at it as a marketing metric.

5. Product & Category Strategy

- **Take a closer look at Electronics:** the category gets strong traffic but ranks lowest in demand and slightly behind on sales versus its traffic — worth a focused review of pricing, catalog breadth, or competitive positioning.
- **Lean into Home category strength:** with the highest demand of any category, Home is a good candidate for expanded product range and a larger share of marketing attention.
- **Treat Fashion as a supply-planning priority:** it carries the highest stockout rate of any category, so tighter demand forecasting and safety-stock levels here will protect sales that are otherwise being lost to unavailability.

6. Logistics & Delivery Optimization

- **Run a root-cause investigation into delays:** since congestion, fuel cost, and region don't explain the delay pattern on their own, dig into carrier handoffs, warehouse dispatch times, and order-processing speed to find the real bottleneck.
- **Rebalance shipping mode allocation:** with Air performing best and Sea performing worst on-time, consider shifting time-sensitive or high-value shipments toward Air, and open a performance conversation with Sea freight carriers.
- **Give Middle East and North America a targeted cost review:** these two regions run above the global average logistics cost, so a focused audit of routes, carriers, and contracts there is likely to find savings faster than a network-wide effort.

- **Reassess high-tariff trade lanes:** because higher tariffs are linked to higher logistics costs, it's worth checking whether alternate sourcing or routing on the highest-tariff lanes could reduce that cost pressure.
- **Turn the emissions data into a sustainability initiative:** since one shipping mode drives the largest share of carbon emissions, targeting that mode for efficiency or fuel improvements can cut costs and support ESG goals at the same time.

7. Supplier & Warehouse Management

- **Use Warehouse 3 as the internal benchmark:** it has the fewest stockouts in the network, so studying its replenishment and inventory practices and rolling them out to Warehouse 4, the weakest performer, is a quick win.
- **Strengthen the supplier base in Europe:** reliability there trails other regions, so a structured supplier performance review — or bringing in a backup supplier for critical lines — would reduce that regional risk.
- **Free up working capital tied up in excess inventory:** stock levels sit above forecasted demand throughout the year, so tightening replenishment quantities slightly — while watching stockout rates closely — could release cash without hurting availability.

8. Returns Management

- **Investigate returns in the top five markets:** Japan, Canada, India, the UK, and France show the relatively highest return rates, so understanding whether the cause is product quality, sizing, or mismatched expectations will point to the right fix in each market.
- **Pilot a targeted returns-reduction program:** once the cause is clear, test focused fixes — better product descriptions, sizing guides, or quality checks — in one of these markets before rolling out more broadly.